

25SMCV02415 25SMCV02415

County: los-angeles

Division: Civil Law and Motion

Department: 207

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TENTATIVE RULING

DEPARTMENT

207

HEARING DATE

July 22, 2026

CASE NUMBER

25SMCV02415

MOTION

Motion for Leave to File a Cross-Complaint

MOVING PARTY

Defendant Treace Medical Concepts, Inc.

OPPOSING PARTY

Plaintiff Jane Doe

MOTION

This action stems from allegations of sexual harassment against Plaintiff by her employer.

On May 12, 2025, Plaintiff Jane Doe ("Plaintiff") brought suit against Defendants Treace Medical Concepts, Inc. ("Treace"); Gamaliel Loza ("Loza"); and Rafael Vargas ("Vargas") (together, "Defendants.") The operative First Amended Complaint ("FAC"), filed February 26, 2026, alleges thirteen causes of action against Defendants as follows:

1.
Sexual Battery in violation of Civil Code, § 1708.5
2.
Sexual Harassment (Hostile Work Environment) in violation of FEHA
3.
Sexual Harassment (Quid Pro Quo) in violation of FEHA
4.
Gender Discrimination in violation of FEHA
5.
Failure to Prevent Harassment in violation of FEHA
6.
Retaliation in violation of FEHA
7.
Retaliation in violation of Labor Code, § 1102.5
8.
Retaliation in violation of Labor Code, § 230.1
9.
Negligence
10. Negligent
Hiring and Supervision

11. Intentional

Infliction of Emotional Distress

12. Negligent

Infliction of Emotional Distress

13. Wrongful

Termination of Employment in violation of Public Policy of Labor Code, § 1102.5, FEHA, and Government Code, § 12900

Treace answered Plaintiff's complaint on May 8, 2026. Treace now moves for leave to file a cross-complaint against Plaintiff to allege four causes of action for (1) breach of contract; (2) conversion; (3) unjust enrichment; (4) fraudulent misrepresentation. Plaintiff opposes the motion and Treace replies.

LEGAL

STANDARD

A

party against whom a cause of action has been asserted in a complaint or cross-complaint may file a cross-complaint setting forth either or both of the following:

(a) Any

cause of action he has against any of the parties who filed the complaint or cross-complaint against him. Nothing in this subdivision authorizes the filing of a cross-complaint against the plaintiff in an action commenced under Title 7 (commencing with Section 1230.010) of Part 3.

(b) Any

cause of action he has against a person alleged to be liable thereon, whether or not such person is already a party to the action, if the cause of action asserted in his cross-complaint (1) arises out of the same transaction, occurrence, or series of transactions or occurrences as the cause brought against him or (2) asserts a claim, right, or interest in the property or controversy which is the subject of the cause brought against him.

(Code

Civ. Proc., § 428.10, subds. (a)-(b).)

(a) A

party shall file a cross-complaint against any of the parties who filed the complaint or cross-complaint against him or her before or at the same time as the answer to the complaint or cross-complaint.

(b) Any

other cross-complaint may be filed at any time before the court has set a date for trial.

(c) A

party shall obtain leave of court to file any cross-complaint except one filed within the time specified in subdivision (a) or (b). Leave may be granted in the interest of justice at any time during the course of the action.

(Code

Civ. Proc., § 428.50, subds. (a)-(c).)

Indeed, where a cause of action would

otherwise be lost, leave to amend is appropriate even if the party was

negligent in not moving for leave to amend earlier. "The legislative mandate is clear. A policy of liberal construction of section 426.50 to avoid forfeiture of causes of action is imposed on the trial

court. A motion to file a

cross-complaint at any time during the course of the action must be granted

unless bad faith of the moving party is demonstrated where forfeiture would

otherwise result." (Silver

Organizations, Ltd. v. Frank (1990) 217 Cal.App.3d 94, 98-99.)

DISCUSSION

Treace contends that its prior

counsel, Gordon Rees, was retained, pursuant to an insurance policy, for the limited

purpose of raising Treace's defenses to the claims asserted against it in the

Amended Complaint, but not with respect to any matters falling outside the

scope of that limited representation. As

such, while prior counsel filed an Answer on behalf of Treace to avoid

forfeiture of its defenses to Plaintiff's claims, prior counsel did not prepare

and file the proposed amended cross-complaint.

Having now retained new counsel, Treace requests leave to file the

proposed cross-complaint.

Plaintiff opposes the motion on the ground that Treace delayed bringing the cross-complaint in bad faith, despite being aware of the underlying factual basis for its claims since at least September 12, 2024, when it terminated Plaintiff. Moreover, as Plaintiff contends, Treace then asked for (and received) multiple extensions of time to respond to Plaintiff's complaint, yet failed to timely file its cross-complaint.

In the alternative, Plaintiff requests the Court to impose mitigating conditions, including preservation of Plaintiff's right to demur or move to strike, no continuance of existing case deadlines, and reasonable discovery.

The Court does not find, in light of the fact that Treace filed the instant motion for leave to file a cross-complaint only about a month and a half after it filed its Answer, and in light of Treace's explanation with respect to the situation with its prior counsel, that Treace has acted in bad faith. Treace's cross-complaint is generally proper, as it is brought against Plaintiff, who asserted claims against it. Further, in light of the liberal policy in favor of amendment, the Court finds that leave is proper.

With respect to Plaintiff's alternative request, the Court's granting of Treace's motion should not impact Plaintiff's right to demur or move to strike portions of the Cross-Complaint or conduct reasonable discovery, and the Court's granting of the motion for leave will not impact existing case deadlines, as there is no request before the Court to alter any such existing case deadlines at present.

CONCLUSION
AND ORDER

Adhering to the liberal policy of granting leave to avoid forfeiture of claims, and because the failure to file the Cross-Complaint along with Treace's Answer has been adequately explained, the Court grants Treace's motion for leave to file the cross-complaint against Plaintiff, and orders Treace to file and serve the proposed Cross-Complaint, which is attached to the Motion, on or before August 5, 2026.

Further, the Court will enter the
proposed Order lodged on June 26, 2026 in conformity with the ruling.

Treace shall provide notice of the Court's Order and file the notice
with a proof of service forthwith.

DATED:

July 22, 2026 _____/s/ _____

Michael

E. Whitaker

Judge

of the Superior Court